

# LEASE AGREEMENT

between

**EKURHULENI HOUSING COMPANY (SOC) LTD**

Registration Number 2000/007936/07 ("the Landlord")



Represented by ..... ("the Agent")

and

|                         |  |
|-------------------------|--|
| <b>Surname:</b>         |  |
| <b>Full names:</b>      |  |
| <b>Identity Number:</b> |  |
| <b>Banking Details:</b> |  |

("the Tenant")

## 1. Information schedule

| Item #:                      | Subject                     |  | Work Number                               |  |
|------------------------------|-----------------------------|--|-------------------------------------------|--|
| 1.1                          | Building                    |  | Cell Number                               |  |
|                              | Unit                        |  |                                           |  |
| 1.2                          | Parking Bay                 |  | Salary per month                          |  |
| 1.3                          | Storeroom                   |  |                                           |  |
| 1.4                          | Commencement Date           |  | Employer                                  |  |
| 1.5                          | Monthly rental and deposits |  | Have you received housing subsidy before? |  |
| Monthly fee                  | Rent                        |  |                                           |  |
| Refundable Fee               | Deposit                     |  |                                           |  |
| Once-off non-Refundable Fees | Key/Telephone Deposit       |  |                                           |  |
|                              | Access card                 |  |                                           |  |
|                              | Lease Administration Fee    |  |                                           |  |
|                              | Credit check fee            |  |                                           |  |
|                              | DSTV<br>(optional)          |  |                                           |  |

| <b>2. The people in your property</b> |             |                     |                    |                  |                                |
|---------------------------------------|-------------|---------------------|--------------------|------------------|--------------------------------|
|                                       | <b>Name</b> | <b>Relationship</b> | <b>Contact no.</b> | <b>Salary pm</b> | <b>ID #/ birth certificate</b> |
| <b>2.1</b>                            |             |                     |                    |                  |                                |
| <b>2.2</b>                            |             |                     |                    |                  |                                |
| <b>2.3</b>                            |             |                     |                    |                  |                                |

### 1. LEASED PREMISES AND PERIOD OF LEASE

- 1.1 The Landlord will lease to you Unit number..... of the property located at ....., Block ..... ("the property").
- 1.2 This agreement commences on ..... ("commencement date") and shall be valid for **2 years (a period of 24 months)** from the date of commencement. This lease will be renewable subject to the Tenant meeting the Landlord's vetting criteria.
- 1.3 The Tenant must take occupation of the property within 14 days from the commencement date. If the Tenant does not do so it will be seen as a breach of this agreement.
- 1.4 If the Tenant does not take occupation of the property on the commencement date but sometime before the 14 days has passed, the Tenant will pay the rent from the day that the Landlord has made the property available to him/her, that is, if the Landlord gives the Tenant the property on the 12th day of the month he/she will pay for the remainder of that month and not for the full month.

### 2. USE OF PREMISES

- 2.1 The Premises will be used strictly for residential purposes.
- 2.2 The Premises will be used and occupied personally by the Tenant and the Tenant's family, and no other person will live in the Premises, save for those persons listed on the schedule above.
- 2.3 For purposes of access control, the Tenant shall give to the Landlord biometrics, including but not limited to a set of fingerprints and a retina scan, of each of the persons who shall live on the Premises, and in this regard, the Tenant agrees to provide accurate and current information, and not to misrepresent any person.
- 2.4 It is the responsibility of the Tenant to ensure that the Landlord has the most recent and accurate information in respect of each of the persons who live on the Premises on record and shall therefore be required to furnish the Landlord with updated information in the event that any of the information changes for any reason whatsoever.
- 2.5 No persons whose names have not been so included on the Schedule shall be allowed to live on the Premises.
- 2.6 The Tenant shall provide the Landlord with an income declaration in respect of each of the persons who live on the Premises (combined monthly household income), which information shall be provided by the Tenant to the Landlord following a request for such information by the Landlord.

### 3. STORAGE OF PERSONAL INFORMATION

- 3.1 The Tenant consents to the Landlord's storage of the personal information including but not limited to the certified copy of the identity document, and set of fingerprints of each occupant of the Premises.
- 3.2 The Tenant furthermore consents to the Landlord performing a credit and criminal check for the purpose of ensuring his/her credit worthiness and criminal record, respectively, as well as an employment reference check for the purposes of the payroll deduction instruction, prior to entering into this Lease with the Tenant.

- 3.3 The Tenant acknowledges that the Landlord shall be entitled to use surveillance cameras at the Premises to ensure the safety and security of the Tenants, visitors and its employees and furthermore consents to the Landlord's use of the footage from such surveillance cameras.
- 3.4 The Tenant further acknowledges that the Landlord shall be entitled to use biometrics, including but not limited to a set of fingerprints and a retina scan for access control purposes and furthermore consents to the Landlord's use of such biometrics.
- 3.5 The purposes for which the Landlord will use the Tenant's personal information are, primarily:–
- 3.5.1 to verify the information provided by the Tenant in his/her application and its attachments (including but not limited to contacting the Tenant's listed sources of income, conducting a credit check and a landlord check);
  - 3.5.2 to determine the appropriate unit type and size;
  - 3.5.3 to establish an access control system;
  - 3.5.4 for the use by a relevant service provider to provide the Tenant with electricity, water and sewerage services (utilities), to bill the Tenant for such services and to respond to the Tenant's inquiries about utilities and such billing;
  - 3.5.5 to ensure the safety and security of all occupants of the Premises;
  - 3.5.6 to compile tenant registers, which may be used by the Social Housing Regulatory Authority, Provincial Authority and Local Government Authority to ensure that the Landlord has complied with its required numbers of primary and secondary target market rentals;
  - 3.5.7 to maintain the Landlord's recorded information on the Tenant;
  - 3.5.8 to assist the Landlord's auditor in verifying the Landlord's financial records;
  - 3.5.9 to contact the necessary services or the Tenant's next-of-kin in the case of an emergency or for compassionate reasons;
  - 3.5.10 to determine what kind of support may be valuable to assist the Tenant in living successfully in the housing provided by the Landlord;
  - 3.5.11 to respond to any disputes that may arise during the Tenant's tenancy (including but not limited to disclosing the Tenant's personal information to any third party working on the Landlord's behalf and to credit bureaus and other businesses that provide credit or rental history information about the Tenant);
  - 3.5.12 to assist the Landlord in the collection of accounts (including but not limited to disclosing the Tenant's personal information to any third party working on the Landlord's behalf);
  - 3.5.13 to satisfy certain legal and regulatory requirements;
  - 3.5.14 to prevent fraud with respect to both the Tenant and the Landlord;
  - 3.5.15 to distribute relevant information and publications of the Landlord; and
  - 3.5.16 for disclosure and reporting purposes to the sole Shareholder of the Landlord, the City of Ekurhuleni.

#### 4. DEPOSIT AND LEASE ADMINISTRATION FEE

- 4.1 The Tenant must pay to the Landlord a **refundable deposit equivalent to two (2) months'** rental upon signing this agreement and before taking occupation of the property together with a **non-refundable** Lease Administration fee.
- 4.2 The Landlord's banking details are **ABSA BANK, ACCOUNT NUMBER 4052348660, BANK CODE, 334542**. The Tenant must ensure that his reference is correct, as will be directed on what the reference should be.
- 4.3 The Tenant is not entitled to use the deposit for the Tenant's obligations in respect of the rent or for any other amount the Tenant owes the Landlord.
- 4.4 The deposit is there to allow the Landlord to repair and paint the premises if there are any damages, to clean the premises if they are dirty, to pay for pest control if necessary, to pay the Landlord any rental that was not paid by the Tenant during tenancy, to pay for

any if applicable i.e. electricity, refuse, sewerage, water, to replace lost keys, remote controls and access cards and to cover any other amount due to the Landlord by the Tenant when the Tenant leaves the premises at the end of the tenancy, or any time before.

- 4.5 The deposit amount will be invested by the Landlord in an interest-bearing account held in the Landlord's name. Any accrued interest will be payable to the Tenants deposit refund.
- 4.6 At the end of the lease or upon the Tenant vacating the property, the Landlord will use this deposit to repair any damage, the Tenant may have caused to the property during the lease or to pay for any monies still outstanding to the Landlord or any Service Provider. If the Tenant has not damaged the property during the lease and has paid all the rentals and outstanding utilities then the full deposit together with the interest it may have earned will be paid back to the Tenant twenty (20) days after the end of the lease or upon vacating the property.
- 4.7 If there is any money left over from the deposit after the Landlord has repaired the property or paid any outstanding monies, it will be paid to the Tenant together with any interest within twenty-one(21) days after the end of the lease or the vacation of the property.

## 5. THE MONTHLY PAYMENTS THE TENANT MUST MAKE

- 5.1 The amount the Tenant must pay the Landlord each month is:

| Item#:       | Description:         | Amount |
|--------------|----------------------|--------|
| a.           | Rent                 |        |
| b.           | Water                |        |
| c.           | Electricity          |        |
| d.           | Refuse               |        |
| e.           | Sewerage             |        |
| f.           | DSTV (if applicable) |        |
| <b>TOTAL</b> |                      |        |

- 5.2 The Tenant must pay his/her rent on or before the first (1<sup>st</sup>) day of each month without making any deductions. The Tenant will receive a statement every month indicating the amount to pay.
- 5.3 **Only** payment by payroll deduction or debit order will be accepted for the monthly commitments.
- 5.4 Any payment received will first be allocated to: rent, administration fees, bank charges, legal costs, interest, repairs and maintenance, cleaning, refuse, sewerage, water, electricity and finally DSTV (if applicable).
- 5.5 If the Tenant does not pay on the first day of the month the Landlord will start with the eviction procedure.
- 5.6 The amount the Tenant must pay will be increased on the first (1<sup>st</sup>) day of July of every year so that the Tenants' rental keeps pace with cost increases and inflation. The Landlord will give the Tenant two (2) months' notice of the extra amount that the Tenant must pay due of the said increase. The amount will increase on this date with no relation to the Tenants occupation date. The Tenant's deposit will also increase on this date so that his/her deposit is always equal to two (2) months' rental.
- 5.7 Should a new tax be introduced on the Premises or on the rental, tenant contributions or other amounts due in terms of this agreement, then the Landlord may increase the monthly rental equal to the value of the new tax that may be introduced as and when this occurs. The Landlord will, prior to effecting the increase, inform the Tenant of such increase.

## **6. STOREROOM RENTAL**

The Tenant will be liable for storage costs incurred by the Landlord during vacating of units due to excess furniture or during the evictions process. The terms of this agreement are applicable to the storeroom except those which are obviously not applicable.

## **7. CONDITIONS AND INSPECTION OF THE PREMISES**

- 7.1 If the Tenant has / has not viewed the premises, he/she accepts the premises as they are (voetstoots).
- 7.2 The Landlord will inspect the property with the Tenant before the start of the lease and together they will make a list of any damage that there may be to the property before occupation. The Tenant will not be responsible for this damage or any other damage he/she may find and report to the Landlord within the first **ten (10) days** after the Commencement Date. The Tenant must repair at his/her own cost any other damage made by him/herself, on the inside or outside, of the property during the lease.
- 7.3 Any structural damage found will be repaired by the Landlord.
- 7.4 The Landlord may inspect the property during the course of the lease to check if the Tenant has damaged it in any way. If the Landlord finds any damage it will be pointed out to the Tenant and will be fixed by the Landlord and paid for by the Tenant.
- 7.5 Within fourteen (14) days before the end of the lease the Landlord will inspect the property with the Tenant and make a list of all the things that are damaged. If the Landlord finds any damage it will be pointed out to the Tenant and will be fixed by the Landlord and paid for by the Tenant.
- 7.6 Within seven (7) days of the end of the lease the Landlord will inspect the property again for any damage. If there is any damage the Landlord will use the deposit to have it fixed.
- 7.7 The Landlord will notify the Tenant of the date of inspection. Should the Tenant fail to attend the inspection the Landlord will continue to inspect the unit without his/her presence.
- 7.8 The Social Housing Regulatory Authority may request the Tenant and the Landlord to inspect the Unit / premises as mandated by the Social Housing Act and it is expected that the Tenant will cooperate with such a request.

## **8. TENANT'S RESPONSIBILITIES**

The Tenant must also pay for the following things: -

- 8.1 All costs incurred by the Landlord if the Tenant breaches this agreement including the issuance of letters of demand, attorneys fees as well as eviction costs.
- 8.2 A penalty of R50.00 if the Tenant pays later than the first (1<sup>st</sup>) of the month to cover the bank costs and extra administration.
- 8.3 Any bank charges as a result of the debit order or the payroll deduction not going through/being rejected by the bank.
- 8.4 The Tenant must further provide the following which are material to this agreement:
  - 8.4.1 an employer payroll deduction mandate/instruction;
  - 8.4.2 a copy of recent salary slip which is not older than three (3) months;
  - 8.4.3 a copy of recent bank statement which is not older than three (3) months;
  - 8.4.4 details of any financial or other assistance received by the Tenant from his/her employer(s);
  - 8.4.5 details of any special needs (including without limitation physical and/or mental disabilities or other health needs), to the extent applicable;
- 8.5 Furthermore, the Tenant must:
  - 8.5.1 Only use the property as a house to live in;
  - 8.5.2 Keep it clean and tidy;
  - 8.5.3 Do not disturb the neighbours;
  - 8.5.4 Take all possible reasonable steps to stop and/or not cause blockages and obstruction in the drains, sewerage

pipes and water pipes;

- 8.5.5 Not interfere with the electrical wiring or plumbing.
- 8.5.6 Obey the House Rules that are attached to this document.
- 8.5.7 Not put up any posters, advertisements or other notices on the property either on the inside or the outside, including on the windows.
- 8.5.8 Provide one (1) calendar month's written notice of termination in order for the deposit to be refunded and inspection to take place. Failure to do so may result in the Tenant being charged for the next month's rental.

## **9. THE LANDLORD'S RESPONSIBILITIES**

The Landlord will:

- 9.1 Check on the premises throughout the lease;
- 9.2 Give you a statement for your monthly payments; and
- 9.3 Make sure the property is maintained correctly.

## **10. ALTERATIONS TO THE PROPERTY**

- 10.1 The Tenant must not make any alterations to the property unless the Landlord has agreed to it. If the Tenant does make alterations without the Landlord's permission, the Landlord will charge the Tenant to have them removed. Please note that if the Landlord allows the Tenant to make any alterations the Tenant will not be repaid for these.
- 10.2 The Tenant will not be allowed to make any structural changes to their units, i.e. break down or build additional walls, carports or any such things.
- 10.3 The Tenant may not change the colour of their unit without written permission from the Landlord.

## **11. EXCLUSION OF LIABILITY**

Neither the Tenant nor anyone else may claim anything from the Landlord if the Tenant or that person is injured, dies or suffers damages of any kind whilst on the property including the parking area and the Tenant indemnifies the Landlord against any claims that may be made by a person visiting the Tenant with or without the Tenant's permission except where the Landlord or any one of its agents are found to be negligent.

## **12. SUBLETTING**

The Tenant may not lease the property to any other person. If the Tenant is not staying in the unit for more than 30 days without informing the Landlord, it will be considered as a breach of this agreement.

## **13. PARKING**

- 13.1 You may not rent your parking bay to any other person.
- 13.2 You may not leave a broken car on the parking bay for longer than 1 week.
- 13.3 If your car drips oil or dirties the parking bay the Landlord will ask you to clean it or clean it for you and charge you.
- 13.4 You understand that the parking bays are not sufficient for every unit and that parking is utilized on a first come first serve basis.
- 13.5 All parking is used at your own risk and the Landlord is indemnified from any claims that may arise due to the Tenant's utilization of the parking bays.

#### **14. INTEREST ON OVERDUE AMOUNTS**

An amount not paid on time will attract interest from the due date until it is paid, at a rate of two (2) percent (%) above the current prime rate per year and compounded monthly.

#### **15. MARITAL CONSENT**

The Landlord and the Tenant hereby confirms that they have complied with all the necessary in terms of the Matrimonial Property Act 88 of 1984, as amended. This means that if any person signing this agreement is married in community of property, the spouse of that person signing the agreement will be considered to have agreed and given the necessary permission to the person signing the agreement.

#### **16. DEATH OF THE TENANT**

If the Tenant dies whilst in occupation of the premises, any other occupants of the premises must vacate the premises upon receiving twenty (20) business days' notice by the Landlord. If the Tenant's and or any other occupant's personal effects and possessions are not moved from the premises the Landlord may, in its discretion, move and place them in storage at the cost of the owner of the effects and possessions and/or the deceased Tenant's Estate. Failing collection of the stored goods within three (3) months of placing them in storage such goods may be sold by the storer of the goods to pay the storage costs.

#### **17. CANCELLATION**

##### **17.1 Cancellation by the Landlord**

- 17.1.1 The Landlord will be entitled, over and above any rights in law, to immediately cancel this agreement, should the Tenant commit its first breach of this agreement and fail to pay the rental, any other amount in terms of the agreement or fail to comply with any term of this agreement within twenty (20) business days of a letter being delivered to the Tenant telling him to do what is necessary to sort out the wrong doing.
- 17.1.2 The Landlord will be entitled, over and above any other rights in law, to immediately cancel this agreement and start the eviction process, should the Tenant continue not to pay rental or any other amount in terms of this agreement or fail to comply with any term of this agreement.

##### **17.2 Termination by the Tenant**

- 17.2.1 The Tenant will be entitled, over and above any other rights in law, to immediately cancel this agreement (on which date the Tenant must vacate the premises) if the Landlord fails to comply with any terms as required in terms of this agreement within twenty (20) business days of a letter being delivered to the Landlord telling him to remedy the breach.

##### **17.3 Termination disputed**

If the Landlord upon Terminating this agreement and the Tenant unlawfully remains in occupation of the premises, then pending the tenant vacating the premises:

- 17.3.1 The Tenant will continue to pay an amount equal to the rent monthly in advance, and any other amounts payable in terms of this agreement;
- 17.3.2 The Landlord will be entitled to keep the payments without prejudice, on account of any damage the Landlord may suffer from the Tenant's failure to vacate the premises;

- 17.3.3 The Tenant will comply with all other obligations of the Tenant set out in this agreement as if the termination had not taken place and the Landlord may enforce the Landlord's rights under this agreement in all respects without prejudice to the termination.

## 18. THE ENTIRE AGREEMENT

This is the whole contract and no changes may be made to it unless these changes are in writing and signed by both parties.

## 19. TELEPHONE (when applicable)

Every unit will be given a telephone which is also used as an intercom to talk to the security or house supervisor. A deposit is paid as per the information sheet and will be given back to the Tenant when they leave if the phone is in good condition. The phone is not optional and is for the security and house supervisor to communicate with the Tenant when he/she has a visitor or in the case of an emergency. If the phone is lost or damaged, the replacement value of the phone at that time will be charged to you.

## 20. DSTV (when applicable)

Every unit has a DSTV access point. If the Tenant wants to use this point it must first be activated. A once off activation fee of \_\_\_\_\_ will be charged. This DSTV point will be maintained by the Landlord and the Tenant will be charged a monthly levy of \_\_\_\_\_. The Tenant must bring his/her own decoder and pay his/her own service provider for your DSTV programmes. Nobody is allowed to put up his/her own satellite dish. Any satellite dish put up by the Tenant will be confiscated by the Landlord.

## 21. CESSION OF AGREEMENT, RIGHTS AND OBLIGATIONS

- 21.1 This agreement, including the Landlords rights and obligations are fully transferable by the Landlord. The Landlord will advise the Tenant in writing that he has transferred his benefits, rights and obligations and to whom they have been transferred.
- 21.2 This agreement, including the Tenants' rights and obligations are **not transferrable by the tenant**.

## 22. ADDRESS FOR SERVICE OF LEGAL DOCUMENTS

- 22.1 The Landlord and Tenant choose the following addresses at which documents/notices in any legal proceedings in connection with this agreement must be served and will be considered served if delivered there for their attention (*their domicilium citandi et executandi*):
- The Landlord:** HANOVER BUILDING, CNR HENDRICK POTGIETER & 7<sup>TH</sup> AVENUE, EDENVALE
- The Tenant:** The rented Premises
- 22.2 Any letters or notices that either the Landlord or Tenant sends by registered post to the other person will be considered received four (4) business days after the date of posting.
- 22.3 The Landlord and the Tenant may change their address for service of legal documents to any other address in South Africa by written notice to the other person. Such notice must be sent by registered mail to the address in this clause and such change will take effect four (4) business days after posting.

## 23. JURISDICTION

The Landlord or the Tenant may refer any dispute regarding this lease with the Gauteng Rental Tribunal or any Magistrates Court or the High Court with jurisdiction.

## TENANT DECLARATION OF COMMUNICATION

I hereby declare that the following has been communicated with me and that I understood it. I was given the chance to have these interpreted in a language of my choice. **(Please do not sign this agreement if you do not understand the following).**

- |                                                                                                                                                                                                                                                             |                      |
|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------------------|
| 1. This accommodation is only <b>rental</b> and <b>no ownership has been promised to me.</b>                                                                                                                                                                | <input type="text"/> |
| 2. My Rent and Deposit will increase each year in July.                                                                                                                                                                                                     | <input type="text"/> |
| 3. I will be charged for utilities like water, sewerage, electricity, and refuse over and above my rent.                                                                                                                                                    | <input type="text"/> |
| 4. I must pay a deposit of two months' rental.                                                                                                                                                                                                              | <input type="text"/> |
| 5. My deposit will only be refunded if there is no rent, utilities or other maintenance charges outstanding.                                                                                                                                                | <input type="text"/> |
| 6. I understand the house rules and will abide by them.                                                                                                                                                                                                     | <input type="text"/> |
| 7. I have read and understood this Lease Agreement.                                                                                                                                                                                                         | <input type="text"/> |
| 8. I am <b>not</b> allowed to put up my own satellite dish.                                                                                                                                                                                                 | <input type="text"/> |
| 9. I understand that if my rent is not paid in term of this agreement, this agreement will be <b>terminated</b> and an eviction process will be pursued and which costs will be recovered from me.                                                          | <input type="text"/> |
| 10. I understand that Parking is limited and it will be on a first come first served basis, and I shall not park my broken vehicles in the parking bays.                                                                                                    | <input type="text"/> |
| 11. I understand and accept that the social housing units are for a specific category of people who meet a certain criteria, and once I fall outside that criteria, I will have to vacate the property. This purpose and criteria has been explained to me. | <input type="text"/> |
| 12. I willingly choose to rent a social housing unit and will abide by the criteria and rules as set out by the Landlord.                                                                                                                                   | <input type="text"/> |
| 13. I understand that if I lose my income and cannot afford the rental any more, I must give notice of termination of this agreement and move out of the unit.                                                                                              | <input type="text"/> |
| 14. I do <b>not own property</b> and have never owned property previously (including land or a RDP house).                                                                                                                                                  | <input type="text"/> |

**37. EFFECTIVE DATES FOR THE TENANT AND LANDLORD**

This agreement will be binding upon the Tenant from date of signature by the Tenant. This agreement will only be binding upon the Landlord upon signature by the Landlord and upon receipt by the Landlord of the deposit, lease administration fee, the first month's rent and tenant contributions unless the Landlord agrees otherwise in writing.

Signed at \_\_\_\_\_ on this the \_\_\_\_ day of \_\_\_\_\_

**Witness: (Name & Surname only)**

1. \_\_\_\_\_

2. \_\_\_\_\_

\_\_\_\_\_

**TENANT: Name & Surname**

\_\_\_\_\_

**TENANT: Signature**

Signed at \_\_\_\_\_ on this the \_\_\_\_ day of \_\_\_\_\_

**Witness: (Name & Surname only)**

1. \_\_\_\_\_

2. \_\_\_\_\_



\_\_\_\_\_  
**Landlord: Ekurhuleni Housing Company (SOC) Ltd**  
(Property Manager)

\_\_\_\_\_  
**Landlord: Ekurhuleni Housing Company (SOC) Ltd**  
(Revenue Manager)

